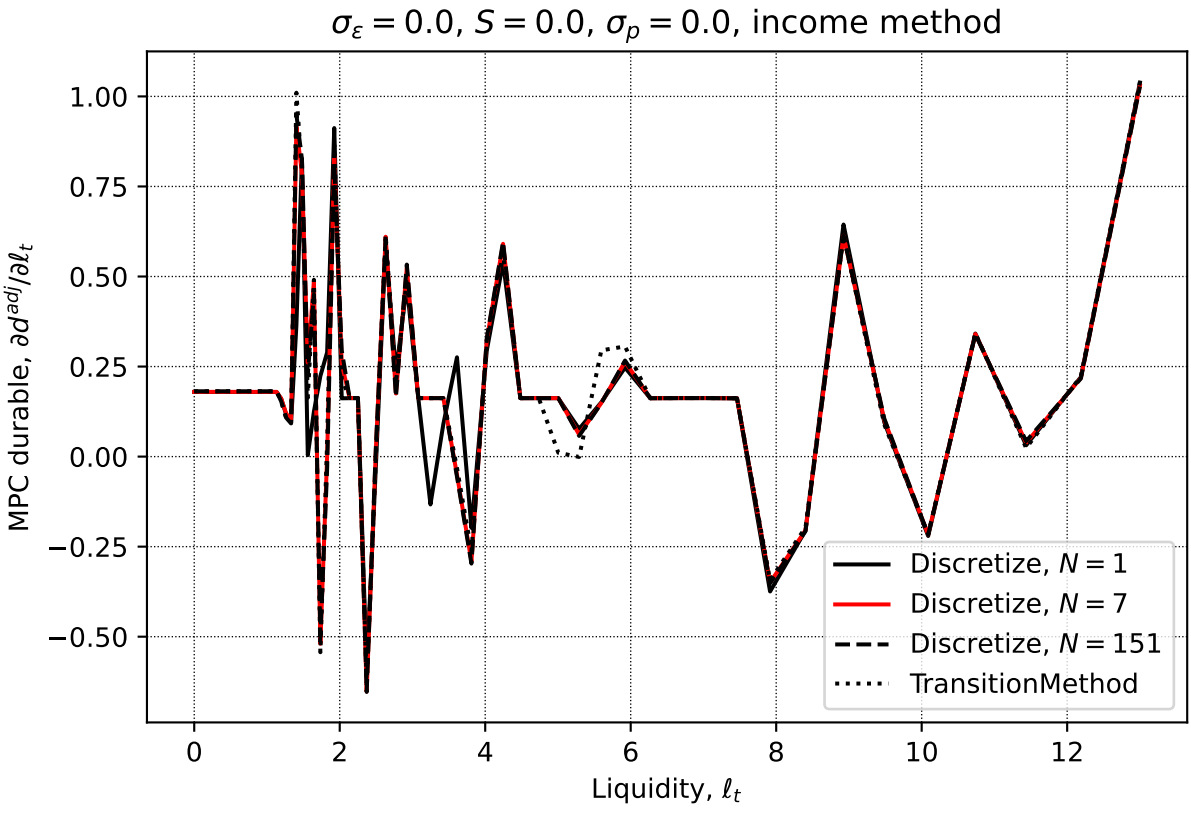
$\sigma_\varepsilon = 0.0$, $S = 0.0$, $\sigma_p = 0.0$, income method
MPC durable, $\partial d^{adj}/\partial \ell_t$
Liquidity, ℓ_t
1.00
0.75
0.50
0.25
0.00
−0.25
−0.50
0
2
4
6
8
10
12
Discretize, $N = 1$
Discretize, $N = 7$
Discretize, $N = 151$
TransitionMethod